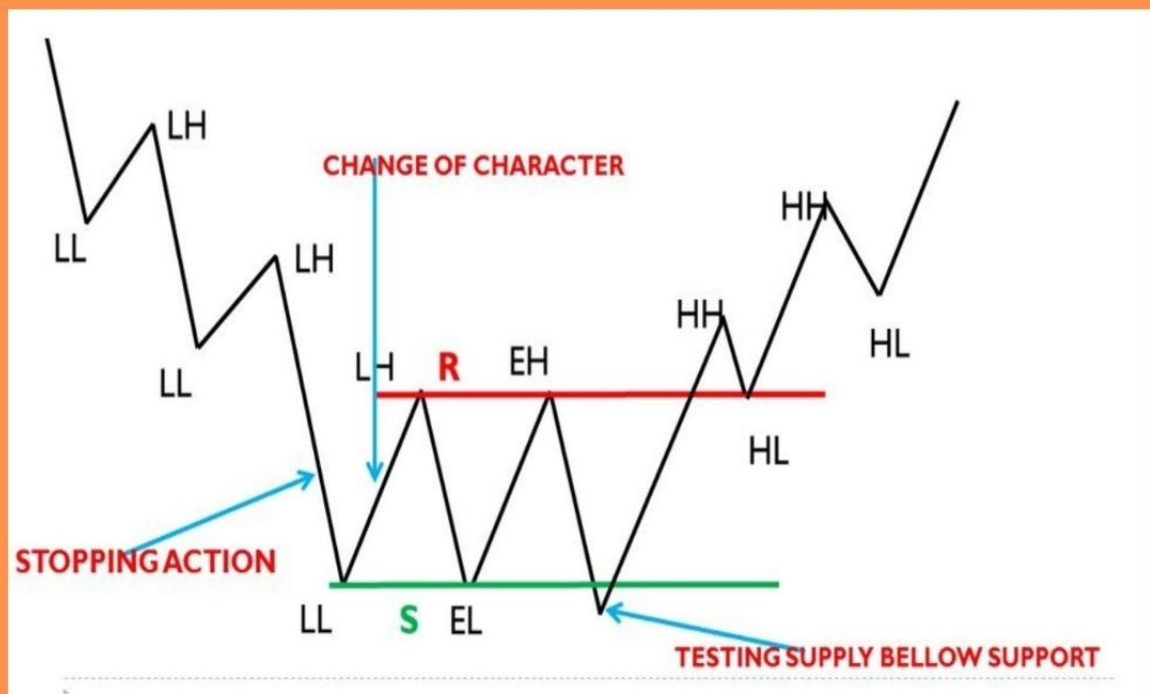


ADVANCED

Smart Money Concept



**The Ultimate Guide to
Market Structure Price Action
And Order Block Trading Concept**

EDWARD DREW

ADVANCED SMART MONEY CONCEPT

**THE ULTIMATE GUIDE TO
MARKET STRUCTURE, PRICE ACTION
AND ORDER BLOCK TRADING CONCEPT**

EDWARD DREW

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Trading support & Special requirement :

- 1. Always be patient to learn**
- 2. Always be patient to practice. Trading : 50% Control yourself – 50% Strategy.**
- 3. Learn and implement your trading risk management, safety comes first**

Recommendation :

** Back test from 1 - 3 months before real trading. You can choose GBPUSD - 1H to practice firsts.*

**** Learning from examples to theory will help you easier to understand.*

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WHO IS “SMART MONEY”?

Smart Money refers to the biggest and smartest players in the game. They are the central banks, the market makers, and the institutional investors. They are the entire Interbank Market; Deutsche Bank, Citigroup, Barclays, UBS, Bank of America, HSBC, BNP Paribas, and Goldman Sachs. They have an overwhelming influence on the financial markets, which is why the Smart Money will always prevail.

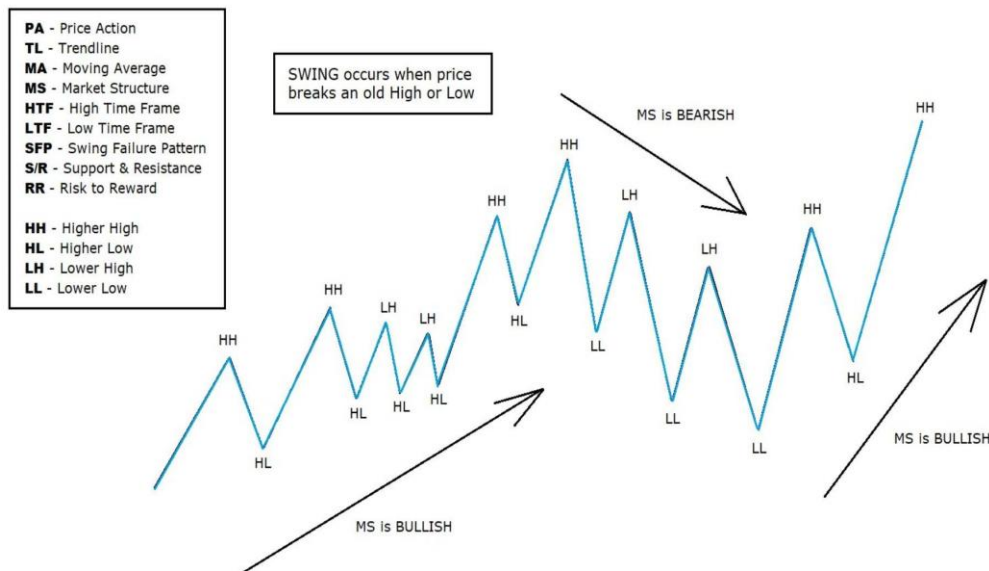
What is smart money trading? Smart money trading refers to the use of institutional trading strategies which are aligned with the perspectives of smart money.

Institutional smart money trading is superior to any retail trading strategies on many levels. This do not mean retail trading strategies do not work at all. It just means institutional forex is more powerful and more accurate than anything the retail market offers. Smart money naturally has more access to knowledge and resources than retail traders or “dumb money” to their disposal. Tracking smart money investments will give you the true narrative and what to expect of price in the markets.

INTRODUCTION

MARKET STRUCTURE, PRICE ACTION AND ORDER BLOCK TRADING

At first, the concepts of market structure and price action can be a bit confusing. However, if you're a technical trader or investor, understanding what each term means and how they differ from one another is important. In this book, I will be teaching you everything you need to know about market structure and price action trading, using the smart money concept. All the topics and strategies will be broken down and explained in such a way you will understand every bit of it.



Market Structure?

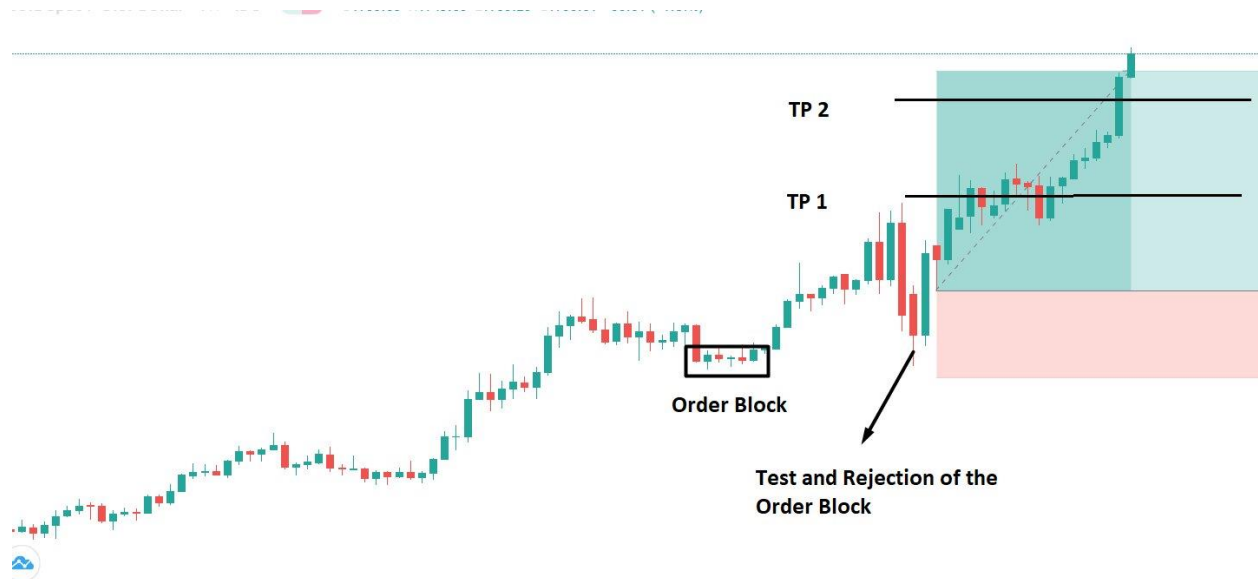
Market structure, also referred to as market state, is a representation of developed price action. Over any given period of time, price action ebbs and flows, moving up, down, or sideways. The result of these fluctuations defines the market's structure. With pricing charts, it's easily visible on intraday, daily, weekly, monthly, or yearly time-frames

Technical traders and investors view market state with respect to three basic classifications:

- **Rotation:** A market is in rotation when price action is neutral. Rotational markets are defined by reduced trading ranges and overall consolidation. Reversion-to-the-mean trading strategies are typically applied to range-bound or rotational markets.
- **Trend:** A market is trending when price action is overtly bullish or bearish. Trend trading is a popular methodology because realizing extraordinary profits is possible. Buying or selling pullbacks from Fibonacci levels are common ways of trading trending markets.

- **Reversal:** A market is under reversal when price action has changed directions. Spotting reversals can be challenging but lucrative, if successful. Identifying trend exhaustion points with momentum oscillators or chart patterns are two ways of trading reversals.

Order Block Trading?



Order block trading is analyzing where large blocks of orders form in the market and using this information to buy or sell.

Big trading institutions and banks usually create these blocks.

Knowing where these big players are putting their order blocks can help you identify the best areas to enter new trades or exit existing ones.

While there is no one central trade for foreign trade markets, the big banks and institutions significantly affect where prices move.

Where these whales of the markets are placing their order blocks can have a significant effect on what prices do.

If you know and understand where these order blocks are building up, you can use it to your advantage when making trades.

The key to order block trading is recognizing these critical levels in the market. When prices move into an order block area, we can often see large movements in price and a spike in liquidity. This can lead to very profitable trades.



Price Action trading

Price action is the fluctuation of a product's price over a period of time. In an open, publicly traded market, price action represents the changes in a security's value. It acts as the basis for technical analysis, which is the study of past and present price behavior. For market technicians, price action is the foundation for all trading strategies and methodologies.

To place continuous price action into a manageable context, all variations are charted. Pricing charts are a key part of technical analysis because they translate seemingly random ticks into a user-friendly, visual format. Common chart types are Japanese Candlestick, Open High Low Close (OHLC), and line. When referencing a chart, a trader can quickly ascertain which of the three ways price action may develop:

- **Bullish price action** refers to an upward move in price. Prices rise when buyers outnumber sellers, thus skewing the bid-ask spread in favor of the bid.
- **Bearish:** Bearish price action refers to a downward move in price. Prices fall when sellers outnumber buyers, thus skewing the bid-ask spread in favor of the ask.
- **Neutral:** Neutral price action refers to a horizontal move in price. In a neutral scenario, the number of buyers and sellers are roughly equal. The result is muted price action and a balanced bid-ask spread.

The key thing to remember about price action is that it is a product of order flow. As buy and sell orders hit the market, price moves up, down, or sideways in concert with evolving supply and demand. This is an important aspect of the market structure and price action dichotomy—market structure is a product of price action.

Section 1

WHAT IS MARKET STRUCTURE IN TRADING?

Market structure gives us bias for trading opportunities. In the positively trending market, we generally hope to buy dips

Range market we search for buy low sell high

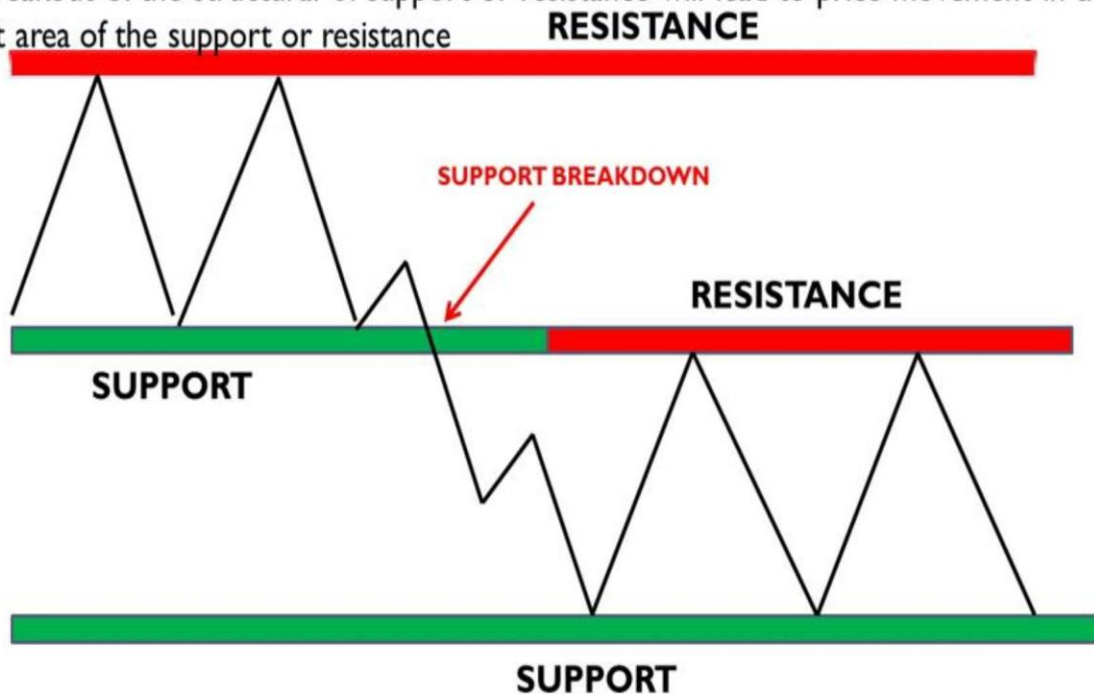
Principles of Market Structure

Price moves inside a primary of support and resistance.

A breakout of the structural of support and resistance will prompt price development in the following area of the support or resistance

Price moves within a structural of support and resistance.

A breakout of the structural of support or resistance will lead to price movement in the next area of the support or resistance





Elements of the Market structure

The market structure consist of

Phases

Trend

Phases

How does the market really work?

All financial market work on the Universal law of Supply and demand.

Law of Demand The higher the price of a thing, the less the demand (buyer would rather not buy at a greater price) and lower the price, higher the demand (buyer need to buy at a low price)

Law of Supply-The higher the price of a thing, the higher the inventory (sellers want to sell at a higher price) and lower the price, bring down the stock (buyers would rather not supply at a lower price)

So prices go up to find sellers and afterward go down find buyers

How about we think according to the viewpoint of smart money

What is smart money?

Smart money are professional money, big hedge funds and institution.

If you have any desire to be a successful trader you need to comprehend where these smart money places themselves and where their orders are

If you don't know about this you could get caught by smart money

The price goes through 4 Phases

Accumulation

Uptrend

Distribution

Downtrend

Accumulation

Accumulation implies remove from the trending inventory of stock by buying

Demand coming in to gradually overcome and absorb the supply and to support the stock at this level

How smart money do that?

They buy however much of the stock as could reasonably be expected, without altogether setting the price facing their own buying until there are not many, or no more offers accessible at the price level they have been buying at

Accumulation generally takes place inside a congested area, where the stock seems to have no demand to one or the other drop up or drop down. The smart money guarantees that the stock is contained under a specific upper level which is the inventory area. At the same time, the smart money likewise supports the prices above a specific lower line which is the support area.

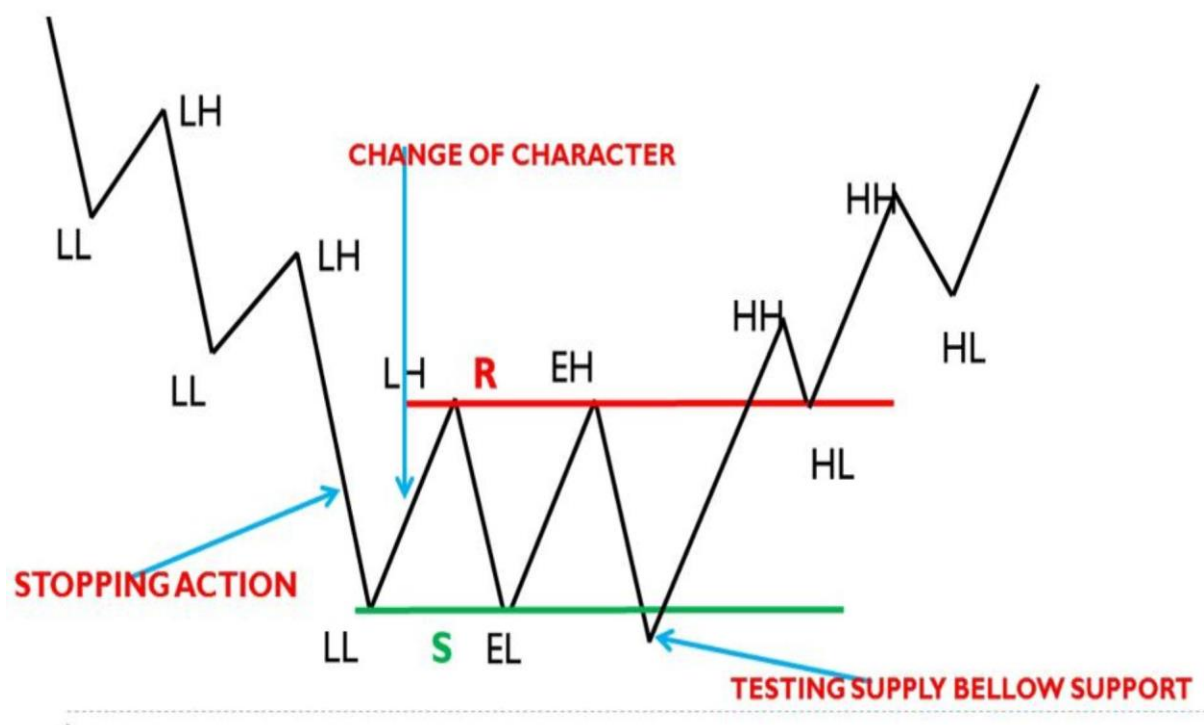
How does trend change?

Stopping action(stopping the downtrend)

Change of character(strength of trend change from bearish to bullish)

Testing of supply(testing supply regardless of whether present)

Mark up(if no stock found in testing activity)





We will examine the depth later sections. There are numerous different trends that signify accumulation. Some of them are

Rounding bottoms,

Reverse head and shoulder and

Twofold bottoms structures

Triple bottom trend

Uptrend

When the inventory sees by smart money. At the point when general economic situations seem great, the Smart money can then increase the price of the stock sooner or later

In the first place, the market breaks out from the finish of the accumulation phase, moving higher consistently, with normal volume. There is no rush as the insiders have buy at discount prices and presently need to augment benefits by accumulation bullish speed gradually, as the heft of the dispersion phase will be finished at the highest point of the trend, and at the most exorbitant prices conceivable. Once more, allowed the opportunity, we would do likewise

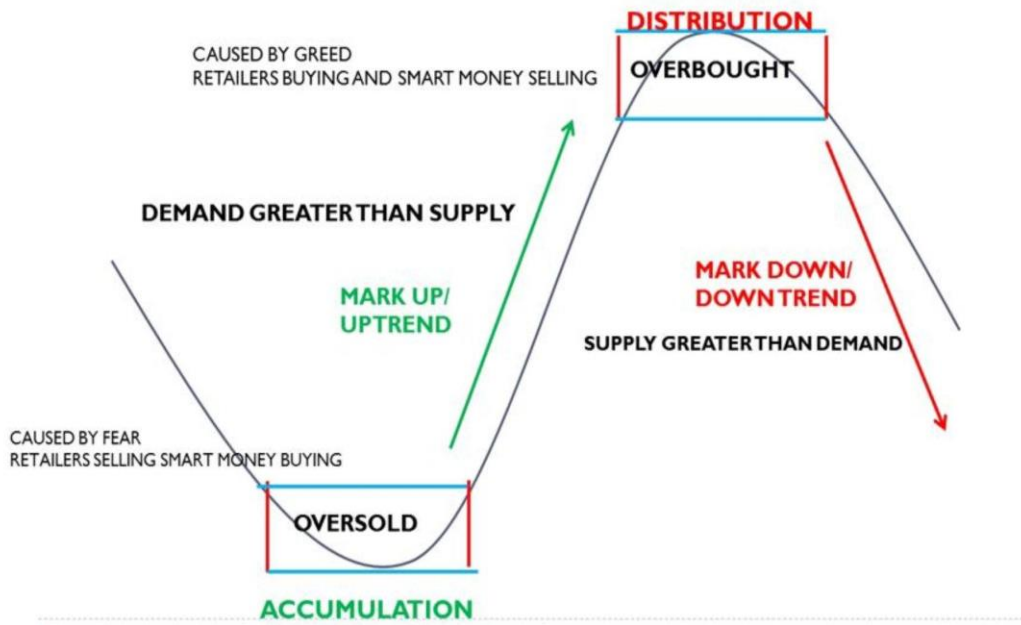
Picture here

Distribution

Smart money will exploit the greater prices got in the assembly to take benefits by starting to offer the stock back to the uninformed buyers/investors

Opposite of accumulation process

DOWNTREND



When the distribution finished. The Smart Money can then write down the price of the stock in the future. Let's combine all phase

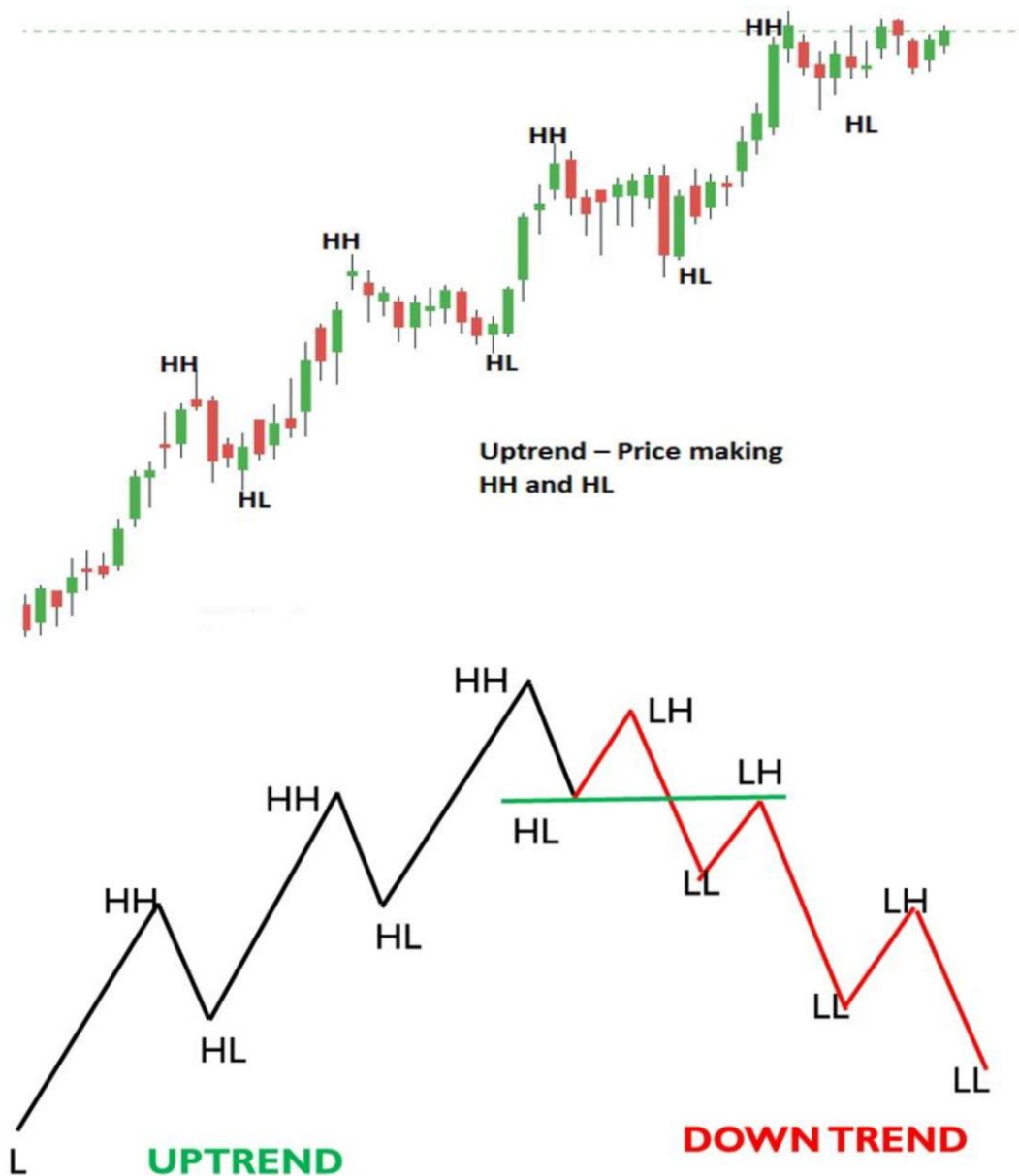
So, let's try to put the above phases with nifty 50



This is all the smart money is doing, they are primarily playing on the feelings of the markets which are driven by only two. Dread and voracity. That is all there is to it. Make sufficient fear and individuals will sell. Make sufficient greed and individuals will buy. It's all very simple and logical

This circle of accumulation and distribution is then repeated endlessly, and across all the time periods. Some might be major moves, and others minor, yet they happen consistently and in every market.

Trends:



Let's first understand what is a trend. In a healthy bull trend, the rise for the most part surpass the lowing long and making a higher high and higher low, the opposite is valid for the bear market

WHY Trend Analysis for Trading?

Trading against the trend, without a trend, or low quality trends are quite possibly of the most well-known reason traders fizzle.

The quality or solid trends have more unsurprising achievement (edge)

Controlled course of action of price bars and pullbacks give more prominent conviction that inverts at supply and demand occur

Poor or weak trends have lower consistency

Uncontrolled game plan of price bars and pullbacks into supply and demand decreases chances of an inversion

Determining the market trend

As indicated by Dow Hypothesis, the market has three trends

Primary trend: In Dow Hypothesis, the primary trend is likewise thought to be as a significant trend on the lookout. It has a drawn out influence

Second trend: Dow calls a rectification in the primary trend as an optional trend. In a bullish market, the optional trend will be a descending development and in a bearish market, it will be a convention.

Short term trend: The Minor Trend is a restorative move inside the optional trend

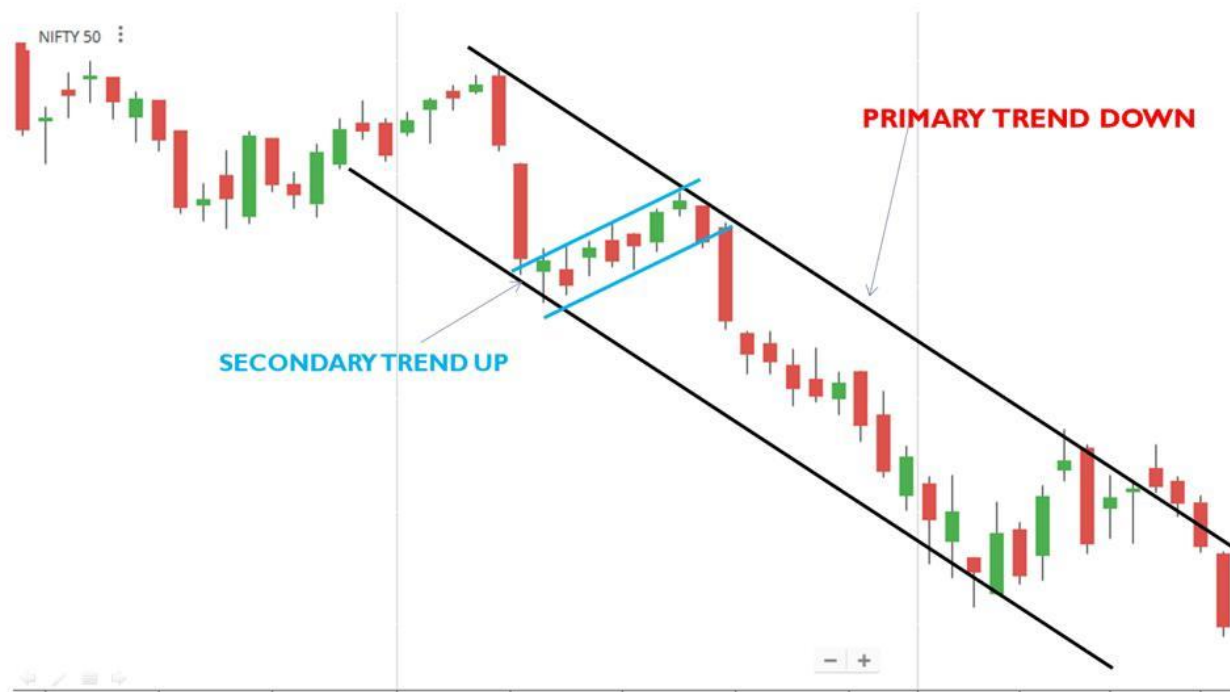
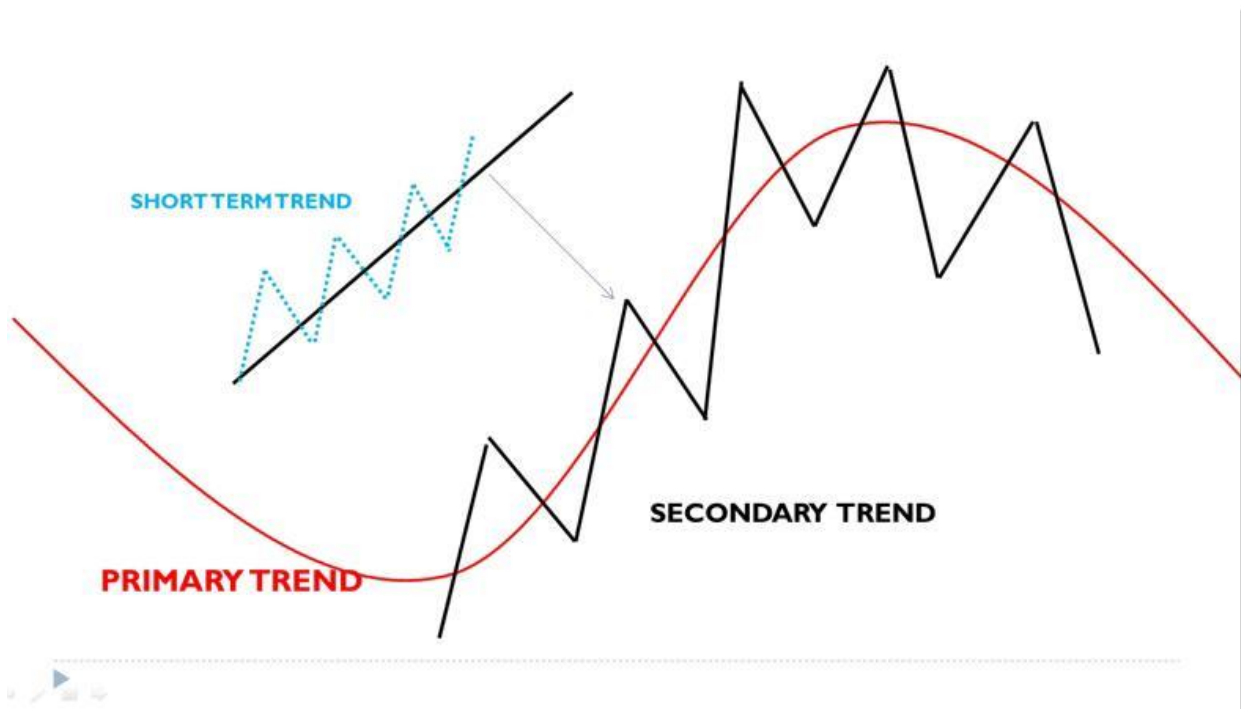
Which time frame trend is best?

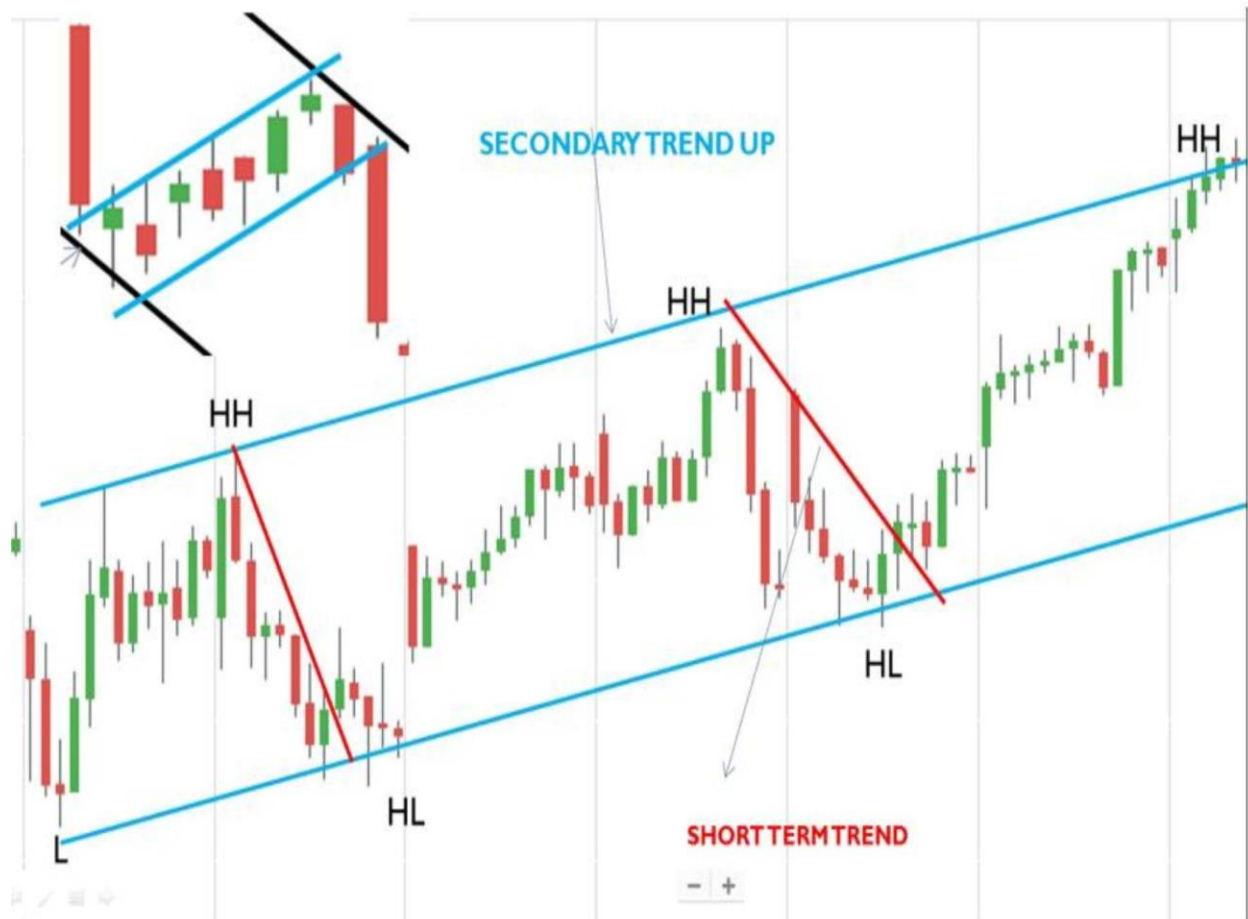
It relies upon what time frame you are checking out.

Larger timeframes establish and master the trend.

Assuming we are taking a look at the day to day time frame and price is making record setting paces all around we are in the positively trending market

However, assuming we are taking a look at a retracement of that bull move quickly time frame we may be a momentary bear market despite the fact that general market is bullish





Section 2

THE MOST EFFECTIVE METHOD TO READ MARKET STRUCTURE IN FOREX

The ABCs Of Market Structure

The main guideline is the clearest one, and it expresses that for a market to be in a functioning cycle, it's latest structure should be one where price prints a high that breaks the past high (on account of a bullish cycle). On the other side, a down-cycle will be laid out if the most recent swings low in price breaks underneath the latest low. In this hourly outline beneath, you can obviously see the EUR/USD in a down-cycle phase on worse low points and worse high points.



Minimum Of Two Closes beyond Last High/Low

To confirm that a bearish trend or down-cycle is developing in a solid way, not just we really want to see the low printed being lower than its past low, yet we likewise ought to expect no less than two closes past that low or support area as additional proof that the market is tolerating and constructing esteem. Inability to print something like two closes might be a forerunner to what's frequently alluded as head-phony or misleading breakout, and keeping in mind that the move actually holds its legitimacy to qualify as a new low in the cycle, the nature of the leg is poor in nature.



Try not to loose sight of the forest For The Trees

You should, definitely, stay away from the snare of being childish by simply adhering to one outline examination. While leading your market structure studies, everything no doubt revolves around building a postulation about a specific bearing by figuring out simultaneousness from higher opportunity outlines down to your trading time period.

Personally, I wouldn't suggest using 3 charts as your reference or you might experience the ill effects of supposed "examination loss of motion". This means assuming that you will find a entry trigger off the hourly, you ought to then comprehend what sort of conditions are predominant in the promptly higher time frames. The most well known for this situation would be the 4h daily charts.

As shown below, notice how all time frames in the EUR/USD line up with the down-cycle? Couldn't you feel that trading a setting embraced by seller from higher time periods adds to your chances of picking the course the market is probably going to go to in your trading time period?

A mechanical rule to apply: the price in the time frame quickly above your trading time frame (the H4 or Daily if trading H1) comes to the half Fibonacci retracement of the last valid swing, the position ought not be in struggle of the heading of the greater time frame.



Creating Rules to Validate Cycles

This is a key point that frequently gets ignored by market members by letting a lot speculating assume a part. While dissecting the outlines, how would we figure out what comprises a significant swing high/low? We really want to find a mechanical strategy that will permit us to qualify what we figure out by pertinent swing highs or swing lows in the chart.

A general rule, assuming a swing low/high doesn't come to primarily the half retracement of its past swing, you need to ignore that price development as not important enough to comprise a substantial leg. All things considered, how could you need to consider a leg that begins from a low which doesn't actually come to the half retracement as a focal point sufficiently pertinent? The absence of skip ought to be a confirmation that imparts unfortunate buy side streams. We just need to zero in on the making of applicable and valid legs that will prompt new cycles and make in the process important degrees of supports and protections.

A subtlety to apply incorporates the accompanying reason: On the off chance that the bob or pullback from the last substantial low or high is more prominent than the typical daily reach (if trading the hourly) or multiple times the typical day to day range (if trading the day to day), we will likewise have the pre-conditions to approve the last swing.



Trendlines: A Visual Representation Of The Cycles

Did you see in the hourly EUR/USD example how I overlooked a higher high printed? Presently contrast it and one more delineation underneath where it's drawn — blue circle — with the two closes above evidently confirming another up-cycle, correct? In any case, if you somehow managed to ponder a potential justification for why buyer bombed so hopelessly on the endeavor, you wouldn't turn out badly on the off chance that you are contemplating the contention against higher time frames (pointing down). Nonetheless, there is one more guideline you should integrate. If on a downtrend we make a higher high as on account of the EUR/USD, however this high neglects to break the plummeting trendlines, be very wary as generally, it can undoubtedly prompt a speedy inversion in accordance with the predominant cycle. The force of a trend line lies not just in that frame of mind to give a section trigger yet as an outline to assist you with understanding the kind of predominant market streams and possible areas to draw in upon your own examples.



Transitions: From Trends To Ranges

We've come direct in the market structure where the prevailing streams begin evaporating because of expanded benefit taking, change in recurring trends because of evacuations of liquidity, mediation by market-creators, financial information driven moves, and so on. While in a down-cycle, the translation of the outline is direct, when is it that we can say with sureness that we've progressed from a trend into a combination?

On account of the EUR/USD hourly chart we, right off the bat, should see a bombed trial of a valid low (Oct fifth). Besides, a recuperation over the half lie retracement of the

latest swing high would confirm that we have entered a combination phase, which would go on until the latest valid high or low is broken, with no less than two closes above/underneath the level.

In this specific situation, remember that the combination is inside the setting of a down-cycle in the higher time periods as well as on the hourly. Until buyer figure out how to break and hold over the most recent valid swing high, which doesn't happen, the gamble stays to the drawback.



Magnitude Of The Cycle

Another significant hint that will assist us with deciding the wellbeing of the cycle is the sort of headway made by the prevailing side in charge of the cycle. In this segment of the examination, we really want to pose the accompanying inquiry: Are the new legs in the cycle expanding or diminishing in size? Notwithstanding having entered a time of solidification in the EUR/USD hourly chart, the most recent swing low, if we somehow happened to quantify its expansion from the last high to the recently settled low, saw a slide worth 128 pips versus the past leg down, which just accomplished a move of 120 pips. This conveys a significant message: The latest streams impart that seller are expanding its responsibility on each new cycle low (more noteworthy inventory uneven characters), thusly, this is one more piece of information that the gamble ought to remain slanted to the disadvantage.



Velocity Of The Cycle

With regards to the distance the price moves, the extent is just $\frac{1}{2}$ the condition. The other $\frac{1}{2}$ has to do with the speed of the move or the speed. Was the new leg made after a quick and hasty move? Or on the other hand did price cause a new low or high with the development to being drowsy, compressive and taking too lengthy to even consider framing? A decent guideline is to count the quantity of candlesticks it took to accomplish another leg. In the representation underneath, you can perceive how it took 21 hourly bars to accomplish 120 pips versus 18 bars to net 128 pips. Main concern: The cycle keeps on succeeding in a sound way.



Projection: Targets In Another Cycle

By a long shot, the most dependable measure I have found to set targets (fractional or full take benefits) while trading cycles is to gauge the 100 percent Fibonacci projection from the latest substantial swing high to its low. Note, there will be an adequate number of situations when occasions beyond one's reach will make prices vacillate sporadically and not accomplish these objectives. Remember to likewise calculate expected obstacles as higher time period support/resistance areas. You ought to see these levels as basic aides however distant from specific results. On the off chance that the cycle go on in the normal

heading, you will begin to see the price in the power and convenience of these objectives to think about taking benefits or following stops in anticipation of an always bigger yield in your trade.



On account of the EUR/USD, notice how the objective at 1.1510 was reached nearly to the pip before venders took benefit? As the market structure remains, upon a breakout confirmation of the reach, the main objective ought to come at 1.1419, while a breakout and confirmation of another cycle low by two closes sub 1.1467 proposes a bigger extended focus of 1.1430, which would come extremely close to the objective 1.1355 in candle of the reach breakout. I've attracted a red square shape where these objectives come at. It is at these levels where one ought to anticipate a possible fatigue of the descending cycle.

Cluster Of Levels Nearby

Another must-do practice for each buyer to perform is to define the most quick boundaries of support and resistance — no less than 2 up and 2 down — in candle of a hierarchical examination. They ought to be clear to recognize.

The contemplations to be given while choosing these areas incorporate the times the area has been tried (least of twice), kind of response away from this area (the more grounded the more important), time period (the higher the time period the more critical the level is). Beneath you can track down a example in the EUR/USD, where I've drawn the two most prompt degrees of support and resistance in the daily and H4. This means on the off chance that you will find compromises the H1 chart, you should know that once the price arrives at these area in the higher time frames, a likely aggravation of the structure in your trading time period (H1 in our example) may happen, consequently you should be ready by guessing this expected result. The increase of levels in your chart permits you to do definitively that, to anticipate a possible circle back.



Furthermore, the growing's of levels from your trading time period should likewise be checked. Assuming that you've followed me this far, you will at this point comprehend that another cycle could be confirmed if we can break and have two hourly closes outside the reach, correct? Nonetheless, consider the possibility that we break the ongoing reach yet we are confronted with another new low promptly ahead as on account of the EUR/USD (example beneath) at 1.1465. Assuming the distance is generally tight — around 15/20 pips in the EUR/USD — a more secure strategy is to hold on until a breakout of the most far off level in that group of support areas, which would be two closes past 1.1465 to confirm the down cycle. Basically, when this present circumstance happens, what you most likely believe should do is to grow the size of the reach by that additional 15-20 pips and sit tight for a goal outside. Note, the 15-20p in the EUR/USD is only an individual inclination. You can figure out your very own enchanted reach in candle of the ADR of the matches you are trading.



Step by step instructions to Trade Market Cycles

The genuine power lies in the compatibility of variables from a hierarchical strategy, planning to have however many adjusting in support of yourself as could reasonably be expected. In the case of the EUR/USD work out, the down cycle in the hourly had the sponsorship of the H4 and daily cycles also, which without a doubt supports the possibilities picking the correct bearing to trade. Presently, does this imply that the bearish market structure in the hourly will be regarded? Not the least bit. Recall that every individual trade is only an irregular occasion inside the setting of an exploitable edge. Notwithstanding, by leading the valid market structure examination, you truly do get that edge as far as the area to draw in that can offer a moderately okay section for a possibly a lot bigger yield.

All in all, how might you approach trading these cycles?

Most importantly, are compromising the hourly outline, you need to try to trade likewise in accordance with basically the quickly higher time frame cycle (H4), and preferably both (daily and H4). You likewise need to twofold make sure that the hourly market structure is moving according to the standards of two closes past the last substantial swing low/high to confirm another leg in the cycle. You really must then check the shortfall of neighboring group levels from higher time periods or financial information delivers that might highset the structure. Next is to ensure that the price stays directed by a dropping or rising trend line. In conclusion, and this point is vital, focus on both the size and the speed on the formation of another cycle.

When in doubt, no matter what the sort of cycle, I for one don't see sufficient gamble reward esteem on the off chance that one connects in front of a half lie retracement. On the

off chance that we are in a solid cycle with worse low points, respectable extent moves and no check of higher time frame levels, it makes the half lie retracement an extraordinary area to begin searching for trades in candle of your optimal section method. A few seller might like as far as possible orders at this levels with a stop a couple of pips from the latest high/low (this approach would seem OK if the basic trend line is as yet regarded). Others might favor an confirmation trigger, for example, the break of a trend line, a specific example (flag, triangle) or a particular price action development, for example, inundating bars, pin bars.

However you approach your trades, it ought to in any case be from enjoying an internal harmony of psyche that the area you are hoping to trade from holds esteem based on good gamble reward possibilities. On the other hand, and this is likely to one's watchfulness, I for one stay more wary to enter at the half lie retrac and will generally sit tight for either the 78.6% lie retrace or a trial of the past substantial swing low/high for the situation that we had a break yet we never confirmed the cycle by having two closes past the level. On the off chance that the cycle is confirmed yet the extent is no place near what might qualify as solid, be more careful trading around the half (hang tight for trigger).

By and by, an incredible example for a possibly huge gamble reward is to be watching out to trade a retracement to primarily the 78.6% Fibonacci inside the setting of serious areas of strength for a sound cycle. This trades will generally offer the most price for your money, regardless of whether you should show restraint for them to happen.



Examples/





Instructions to Trade Ranges



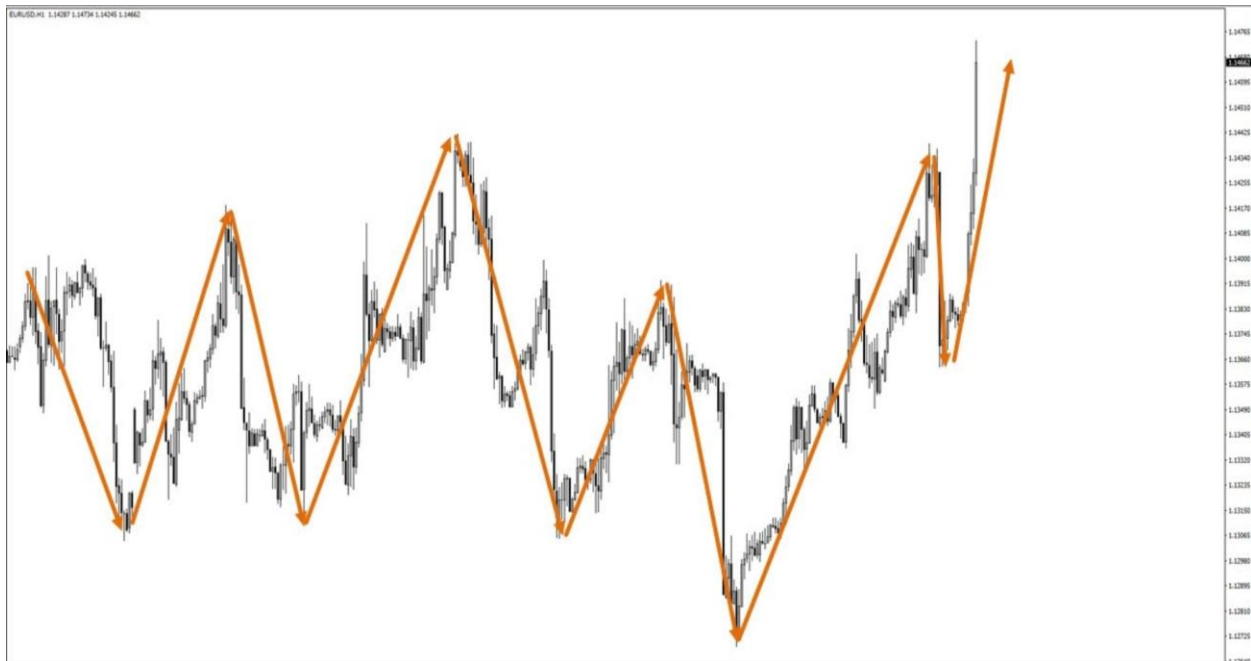
At the point when the price begins trading bound in a case or solidification phase, we realize this is a time of reassessment before the following directional move. Except if a breakout happens, the main area where you truly need to connect as a feature of a reach incorporate the upper or lower edge. A valuable activity to lead each time the price varies inside a reach is to draw a half lie retracement, and begin to see what side of the reach the price invests the most energy at. Is the lower half or the higher half? The side where price as a rule invests the most energy will in general be the most defenseless at a price breakout. See under a new example when the EUR/USD entered a reach between Sept 21-28. Notice how the endeavors to trade over the half lie retracement of the reach were reliably dismissed while price could acknowledge beneath.

Section 3

USE PAST PRICE FOR ESTIMATING THE NEXT STEP

Supply and demand leaves a path on the chart (past price). Traders can break down that path (price movement) and use it as a guide to comprehend what the following price movement could be. Analyzing past price (past easy way out) supports buyers gauge and figure what the following phase or two could be. In candle of that, seller can then evaluate whether there are any fascinating potential trade arrangements inside that normal way.

The financial market sectors overall and the Forex market in specific are in a nonstop back-and-forth among seller and buyer (supply and demand). This makes price waves that are visible to almost all charts.



Swings (impulse folder)

Character of Waves

The waves are either imprudent or remedial in their personality, which is in numerous ways like the heartbeat of the market. The outlines beat with a normal development of motivation and revision albeit the specific succession and length of every drive and rectification will shift per chart and time frame.

1. By analyzing candlesticks, we comprehend the ongoing price action and whether buyer, buyers or nor is in charge.
2. By analyzing group of candlesticks, we are really analyzing price swings, which assists us with understanding whether price is bullish or bearish and whether its restorative or indiscreet.

3. By analyzing different price swings, we can comprehend whether price is moving or going and furthermore can grasp wave examples and price structures, which assists us with understanding both the market structure and the harmony among buyer and buyers.
4. By investigating supply and demand by means of wave structures, price examples, and trend versus range, the future easy way out not entirely set in stone.

The chart is a guide and analyzing price swings is a basic piece of understanding the market structure appropriately and easily. It resembles learning a language. Obviously, utilizing a word reference could assist you with defeating prompt obstacles, yet the more familiar you talk, the simpler it is to speak with the climate around you. Charting, analyzing specialized examination and trading itself likewise become simpler (in the long haul) when you comprehend how to pay attention to the markets.

Recall the platitude: the markets talk and traders tune in. Buyers ought to continuously follow the mood of the market instead of attempting to outmaneuver or outsmart the market, or search for any undetectable easy routes. You can contrast trading with moving where the market leads and buyers ought to take cues from the market. As an artist, we are searching for pieces of information about the market's following phase and examining outlines as a guide will assist with deciding the normal price easy way out.



Analyzing price swings and understanding whether price is hasty or restorative assists buyers with understanding the guide, easy way out, and in general market structure. In the long run rash price action will hit a wall, primarily in candle of the fact that nothing can move in one course until the end of time. The rash price action can anyway keep going

for longer than you expect yet the energy will ultimately subside and candlesticks will either become remedial and dial back in their development or converse into the other way.
Price impulse 5 (impulse folder)

At first momentum is stronger than gravity but eventually momentum weakness and gravity becomes stronger, thereby pulling price into a correction, which is either in the opposite direction (reversal) or sideways direction (consolidation).

Determining the Price Swing

At each point on the chart, price has a decision to go on with the ongoing price swing or complete the bygone one and begin another price swing. Traders are hoping to figure out these 4 viewpoints:

1. What is the bearing and character of the ongoing price swing?
2. Where and when will the ongoing swing end?
3. What will be the heading and character of the following price swing?
4. What will be the course and character of the price swing after the following?

The inquiries 1 to 4 can be evaluated on numerous time periods, albeit in the end this could become confounding. The best is to begin low and steadily add additional time periods when you have acquired adequate experience.

There are three factors that assume a key part in deciding if a price swing will proceed or end: everything really revolves around the speed of price corresponding to the power of gravity and experienced resistance. As it were, it resembles an equation:

Energy versus Gravity in addition to Resistance.

Energy = presence of motivation and the speed of price. Indiscreet price is fast though remedial price is sluggish.

Gravity = the opportunity of price being pulled back to its normal.

Resistance = the capacity of a solid support or resistance level to stop price.

It resembles a back-and-forth among gravity and energy (speed) with support or resistance which decides the cutoff points. Envision a situation where you toss a tennis ball in the air. Toward the beginning, the tennis ball is moving quick and pulling away from earth and floor. Ultimately the speed of the tennis ball diminishes and in the end the gravity of the earth will pull it back rational. The presence of resistance could change the way even sooner. When the tennis ball raises a ruckus around town, it will skip off of it and tumble down prior. In any case, if a tennis ball would hit a delicate structure like paper, its speed will presumably be adequate to get through the paper 'resistance'.

Presently envision that price is in a similar job as the tennis ball. We should stroll through that:

1. The tennis ball is tossed in the air: price is moving rashly.
2. The tennis ball is pulling away from earth and floor: price is creating some distance from the moving midpoints.
3. At last the speed of the tennis ball diminishes and in the end the gravity of the earth will pull it back practical: price is moving back towards present moment and long haul moving midpoints.
4. The tennis ball hits a hard(er) roof: price raises a ruckus around town or resistance level and bobs or switches from this zone.
5. The tennis ball hits a soft(er) roof: price stirs things up around town or resistance level and gets through this zone.

Buyers should dissect energy, gravity, and protection from comprehend in what phase (see guides 1 toward 5 above) price is presently in. This craftsmanship takes practice and experience.

Understanding Price as Energy

Traders should contrast energy and gravity and resistance and judge the normal guide in candle of that. Here are the vital perspectives to remember.

Energy can be determined and analyzed by these elements:

- The character of the candlesticks in the swing:
- Is price moving rashly?
- price moving restoratively?
- Was the past price swing a motivation or revision?

Chart structures:

- Presence of continuation chart structures on lower time periods.
- of continuation chart structures on a similar time period, which that the past incautious swing is as yet a prevailing element.

Time structures:

- Indiscreet price action is normally fast.
- Remedial price action is frequently sluggish and extended.
- Inability to confirm the trend with a higher high (during high swing) or lower low (during downtrend) inside 5-6 candlesticks shows a higher opportunity that a restorative zone will begin.
- The relationship of price as opposed to moving midpoints:
- Price versus 21 ema versus 144 ema demonstrates trend.
- Price over 21 ema over 144 ema = high swing.
- Price under 21 ema under 144 ema = downtrend.
- Price action that is getting away from the 21 ema zone is imprudent.
- At the point when price isn't raising a ruckus around town between the 21 ema high or low (zone), then the price is moving rapidly.
- If there are different candlesticks (+/- at least 5) not stirring things up around town ema zone, then the swing is viewed as a drive.

- If there are 20+ candlesticks not stirring things up around 21 ema zone, then the swing is viewed as a rash wave 3.
- point of the HMA shows the bearing while the presence of the HMA beyond the 21 ema zone demonstrates drive.
- The ecs Fractal indicator versus the 21 ema zone:

Uptrend:

- Support fractals around the 21 ema zone.
- Resistance fractals over the 21 ema high.

Downtrend:

- Resistance fractals around the 21 ema zone.
- Support fractals beneath the 21 ema low.
- Still up in the air and can be dissected by these variables:

Price can't pull away from the 21 ema zone. This shows restorative price action, which frequently demonstrates that energy is feeble and gravity could be more grounded.

Difference structure. Price can make a higher sequential low yet the oscillator, similar to the Magnificent Oscillator, neglects to confirm the new high or low. The oscillator shows a lower high (not higher high) or a higher low (not a lower low).

Outline structures. Inversion outline examples, for example, rising wedge, falling wedge, head and shoulders, twofold top or base and triple top or base demonstrate that price is probably going to move back to the drawn out moving midpoints.

Not entirely set in stone and can be dissected by these elements:

Endeavors to break a support and resistance (S&R) zone:

The main endeavor that price makes to break a S&R zone is dependably the most troublesome and to the least extent liable to succeed.

The subsequent endeavor is 50-half on normal whether price breaks or skips at S&R.

The third endeavor or all the more typically leans toward the breakout rather than a skip or inversion since price has proactively tried the S&R zone two times previously and price has now made a huge inversion since price is again trying the S&R zone. Ultimately price will in general make a break.

Strength of a support or resistance zone:

Conversion of support and resistance makes a price level or zone more grounded and thus makes it more hard to break and more probable for price to skip.

Less conversion makes it more fragile and simpler to break and less inclined to bob.

How Price Moves inside Easiest course of action

Price development is showing the easiest course of action. The way is chosen by 2 fundamental variables: energy and resistance. Or on the other hand as such, there is a ceaseless fight between force (energy) and support and resistance (S&R). In some cases energy is more grounded than S&R. In different cases force is more fragile than S&R.

If force wins, the price will either proceed with its way with maybe just a little interference. The quicker price is moving without showing difference, the more grounded the energy will act.

On the off chance that S&R wins, the price will stop at S&R and return into the other heading or head sideways. The more juncture a support and resistance, as a rule, level has, the more grounded the zone will act.

It is, nonetheless, vital to understand that the “equation” (S&R versus energy) is a gauge in candle of your own examination, experience and translation. Simply remember that it’s anything but a genuine equation – in spite of the fact that it very well may be a fascinating plan to seek after (to fabricate something to that effect with us, go ahead and contact us).

So presently you know how we can profit from checking a chart:

We dissect support and resistance.

We examine energy.

We gauge the normal easiest course of action.

We screen our gauge and figure out how to work on future assessments.

The assessed easy way out is consistently a likelihood. The easy way out isn’t fixed in stone yet rather something more adaptable”. Our wave and Fibonacci guide assists buyers with evaluating that easy way out.

Section 4

ORDER BLOCK THEORY

Since national banks and large institutions play a huge role in price development, it is fundamental to comprehend where they are putting their order blocks.

There are a few reasons these whales are submitting the orders how they are, yet it is frequently to enter or exit tremendous situations without frightening the market.

If a large bank is attempting to enter the market at the most concept value, they will utilize order blocks rather than one enormous order.

This way price won't detonate, and they will get in at the most concept price.

An example is 'Bank XYZ' has an enormous trade they need to fill.

In the event that they make this trade one colossal order, they will gamble there won't be sufficient liquidity to enter everything, and furthermore risk price spiking as they begin to enter and don't get the best price.

All things being equal, they will enter different positions known as order blocks. They will put in these order blocks at vital regions where they make certain to be filled and will get the most concept price.

One more method for contemplating this is the way a huge organization would split their order up. In the event that they are attempting to enter a specific market with a \$500 million trade, yet just \$100 million are being sold, they face two things.

The first is that they will be placed into that first \$100 million. Be that as it may, there will in any case be \$400 million remaining not entered. This could see the price spike, and as the banks attempt to purchase the leftover \$400 million, they will enter at more terrible and more regrettable price levels.

Order Block Smart Money Concepts

Smart money concepts are worked around what the large players are doing on the lookout.

One way brokers will frequently utilize smart money concepts is by searching for when the huge players are putting in their order blocks and quit hunting.

The simplest method for distinguishing these market interest smart money stop-outs is to take a look at your value activity and market structure.

In the example underneath, we go through how these order obstructs fabricate and how a stop chase happens around the market structure.

Instructions to Trade With Order Blocks

Order block and smart money trading can be involved connected at the hip with your other specialized examination and price activity trading.

You can likewise utilize other accommodating indicators that can assist you with refining trade sections and where to put your assume benefit and stop loss.

The example beneath shows how a stop chase happens, and you can utilize this data to make high-likelihood inversion trades.

The initial segment of this stop chase is the unmistakable obstruction level that is set up. Each time price has tried this obstruction, the large players have stepped in and pushed the price back lower.

The way in to this arrangement is that countless stop losses would sit over this obstruction. Numerous dealers who have sold when the price has raised a ruckus around town would have their stops simply above.

The huge players know this.

At the point when the price moves into the obstruction once more, it gets through. This would initiate large numbers of these stop-loss orders and close many trades.



bogus move, and stop out. When the price has popped over this level and hit a ton of stops, it rapidly switches and moves back lower.

Order Block Indicator

While one of the most mind-blowing ways of recognizing order block levels is utilizing your value activity and specialized examination, a few indicators can assist you with making it happen.

One of these order block indicators is worked for MT4.

This MT4 order block indicator will assist you with rapidly distinguishing the basic areas of market interest and the best spots to enter or deal with your trades.

This is an exceptional indicator, yet it has numerous helpful advantages.

You can utilize it all the while on four time spans and in any business sectors you like to trade.

This indicator is useful assuming you like to scalp or swing trade the business sectors or you like to trade inversions.



It likewise accompanies a scope of convenient cautions you can arrangement.

Section 5

PRICE ACTION TRADING STRATEGY

“What is Price action Trading?”

Price action trading is a philosophy that depends on verifiable prices (open, high, low, and near) assist you with pursuing better trading choices.

In contrast to indicators, primaries, or calculations... price action lets you know the market doing — and not what you figure it ought to do.

Presently, this isn't the Sacred goal. Yet, assuming you commit time to learning price action trading, you'll trade with cleaner outlines, and can pinpoint your entrances and exits with better accuracy.

That is the reason I've composed 2873 words in the present post, showing you the mysteries of Price action Trading.

Reality of Support and resistance no one tells you

To start with, how about we characterize what's Support and resistance so we are in general in total agreement.

Support – A flat area on your chart where you can anticipate that buyer should push the price higher.

Resistance – An even area on your chart where you can anticipate that venders should push the price lower.

The following are a couple of examples...

Support and Resistance on EUR/USD Day to day:



Support on (USD/CAD):



Resistance on (GBP/JPY):



Support and Resistance can swap jobs.

This implies when Support breaks it can become Resistance. Also, when Resistance breaks it can become Support.

A example...



Past Support turns Resistance on (GBP/AUD):

Previous Resistances turns Support on (NZD/USD):



In any case, for what reason does it work out?

Since when the price breaks Support, traders who are long are losing money and “bleeding money”.

Thus, when the price rallies back to Support, this accumulation of seller can now escape their horrible trade at breakeven — and that initiate selling pressure.

What’s more, that is not all since seller who missed the breakout will need to short the markets which increment the selling pressure.

Furthermore, that is the reason when Support breaks it will in general become Resistance.

Seem OK?

How to draw Support and Resistance on your charts

Thus, here are the rules I use...

1. Zoom out your charts (no less than 200 bars for me)
2. Draw the clearest levels (if you want to re-think, it’s anything but a significant level)
3. Change your levels to get the most number of “contacts” (it very well may be body or wick)

Dynamic Support and resistance

As indicated by Traditional Specialized Analysis, Support and Resistance are flat areas on your chart.

This is supportful when the market is in a reach or weak trend.

Yet, in solid trend markets, it won't function admirably and that is where you want to depend on powerful Support and resistance.

What is dynamic?

It implies Support and Resistance "move along" with the price as opposed to being static.

For instance:



The 20-time frame Moving Normal can go about as powerful Support major areas of strength for in market...



Or the 50-period Moving Average can act as dynamic Resistance in a healthy trend...

Market behavior insights: How the market truly moves...

Here's how things are:

The markets are continuously transforming (I'm certain you'd understand this at this point).

It can in an uptrend, downtrend, range, low unpredictability, high unpredictability, and so forth.

In any case, if you make a stride back and take a look at the higher perspective, you'd understand the market will in general be in 1 of 4 phases...

Accumulation

Advancing

Distribution

Declining

I'll make sense of...

Phase #1: The Accumulation Phase

The Accumulation phase happens after a decrease in price, and it seems to be a reach market in a downtrend.

Here are what to search for:

Happens after the price have fallen throughout recent months or more (on Daily time frame)

It seems to be a reach market with clear Support and resistance areas — in a downtrend

The 200-day Moving Normal is smoothing out

The price whips this way and that around the 200-day Moving Normal



Phase #2: The Advancing Phase

The Advancing Phase is an high swing with a progression of better high sides and lows.

Here are what to search for:

Happens after the price breaks out of Resistance in a Collection phase

You see a progression of better high sides and lows

The price is over the 200-day Moving Normal

The 200-day Moving Normal is beginning to point higher



Presently listen to this...

No market goes up for eternity. It in the end gets “drained” and that is where it enters phase 3...

Phase #3: The Distribution Phase

The Dispersion phase happens after an ascent in price, and it seems to be a reach market in an uptrend.

Here are what to search for:

Happens after the price have ascended throughout recent months or more (on Day to day time frame)

It seems to be a reach market with clear Support and resistance areas — in an high swing

The 200-day Moving Normal is smoothing out

The price whips this way and that around the 200-day Moving Normal



As of now, the market is still in harmony with the two buyer and venders on neutral ground.

Notwithstanding, the tide is changed assuming the price breaks underneath Support and that is where we enter the last phase...

Phase #4: The Declining Phase

The Declining Phase is a downtrend with a progression of worse high points and lows.

Here are what to search for:

Happens after the price breaks out of Support in a Dispersion phase

You see a progression of worse high points and lows

The price is underneath the 200-day Moving Normal

The 200-day Moving Normal is beginning to point lower



Furthermore, assuming you experience any difficulty attempting to recognize the course of the trend, then go watch this preparation...

Presently you may think...

“What is the point learning the 4 phases of the market?”

Consider this:

On the off chance that you can perceive the ongoing phase of the market, then you can take on the fitting Forex price action system or trading strategy to trade it.

This is the way...

On the off chance that the market is in a Advancing phase, you need to be a buyer (not a buyer).

This implies you can hope to buy breakouts or pullbacks.

Or on the other hand...

If the market is in a Distribution phase, you know there's a colossal likely drawback assuming that the price breaks beneath Support.

This implies you can hope to short the breakdown of Support or trust that the breakdown will happen, then sell on the pullback.

Presently once you comprehend the 4 phases of the market, then you'll realize which Price action Trading methodologies to use in a given economic situation — and you won't ever be "lost" once more

The M.A.E Trading Equation (A straightforward Price action Trading framework anybody can learn) or Price action Trading Forex...

You've taken in the basics of Price action Trading (Support and Resistance, Market Structure

Presently, how about we utilize this information to find high likelihood trading arrangements — reliably and productively.

Acquainting with you, The M.A.E Trading Recipe, an exclusive trading method I've created to assist buyers with come by results, quick.

This is the secret...

Market structure

Area of significant worth

Entry trigger

I'll make sense of...

#1: Market structure

Presently, I realize being taking a look at a clear chart can overwhelm.

Since you don't have the foggiest concept what to do.

Would it be advisable for you to buy, sell, or remain out?

That is the reason the main thing to do is distinguish the market structure as it instructs you.

So ask yourself:

"Is the market in an high swing, downtrend, or range?"

(All in all, distinguish the ongoing phase of the market.)

When you can distinguish the market structure, then you'll know trade along the easy way out.

For instance:

If the market is in an high swing, you hope to just buy.

If the market is in a downtrend, you hope to just sell.

On the off chance that the market is in a reach, you can trade.

Next...

#2: Area of value

Presently, distinguishing the market structure alone isn't sufficient.

Since you additionally need to know where to enter your trade.

Presently you're pondering:

"There are such countless spots to enter an trade. Which one would it be a good concept for me to pick?"

All things considered, you need to trade from an area of significant worth so you can buy low and sell high.

For instance:

Support and Resistance

Regarded Moving Normal

Trend line

Next...

#3: Entry trigger

You understand what to do (distinguish market structure) and where to enter (area of significant worth).

Presently the last piece of the situation is to know when to enter.

Actually, I like to enter when the market has shown signs of inversion — consequently confirming my predisposition.

This can be as inversion price structures like:

Hammer

Falling star

Bullish Overwhelming Example

Bearish Overwhelming example

Allow me to impart to you a couple of instances of The M.A.E Recipe in real life...

Section 6

How to Master Price action Trading?

Excelling at trading with price action needn't bother with to be muddled. To this end we have assembled a straightforward and successful method for examining the price action.

Moving right along, these are the 4 trading phases to dissect the price action any market.

See beneath:

Step #1 Beginning by Examining the Swing Highs and Swing Low

Whenever you open an outline, begin by concentrating on the connection between the swing highs and swing low.

On the off chance that the market is in an high swing, the price action will post a progression of new records all around.

Then again, if the price action posts a progression of worse low points and worse high points, we're in a downtrend.

In any case, on the off chance that there is no unmistakable heading or you can't recognize a reasonable trend then more probable we're in a running market.



Step #2: Measure the distance between the swing highs and swing low

Phase two is to gauge the distance between these swing focuses.

What we're worried about is whether the distance between these swing focuses is expanding during the improvement of a trend.

On the off chance that the wave distance is expanding it recommends major areas of strength for a.

Yet, then again, assuming the wave distance is contracting, we realize that the energy is blurring.



Step #3: Real Support and resistance Happen with Large Candle Wicks

One more trading rule to observe is that genuine support and resistance for the most part create where we have price action with long wicks.

By noticing the long wicks, we can find price levels that line up to frame strong support and resistance levels.

The long wicks for the most part areas of strength for show of prices.

When in doubt, we need to draw our support and resistance levels close to price action with long wicks as found in the figure beneath.



Step #4: Join Price action with Indicators

An instance of consolidating price action with indicators is to join pin bars, overwhelming bars, inside bars and so forth with specialized indicators like moving midpoints, stochastic, RSI, and so on.

Forex specialized indicators are perfect to sift through a portion of the terrible signs.

Look at what are the best specialized indicators to produce trade signals.

Moving ahead

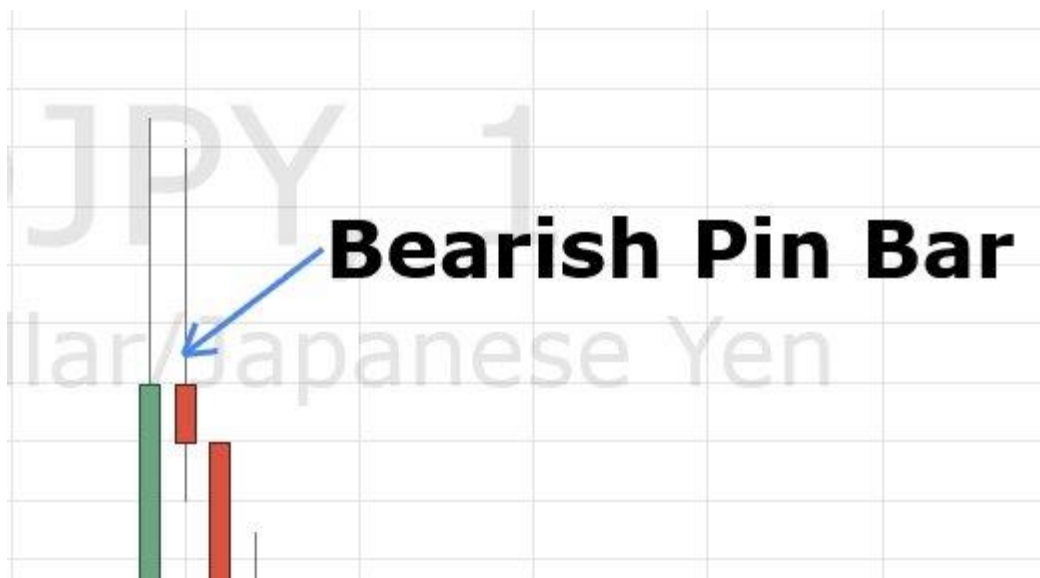
Pin Bar Price action Trading Strategy

This price action procedure will zero in totally on a price structure called pin bars. This candle is just the price hitting a specific level and being “dismissed” from it. This bar has a long tail on it with a little body. A pin bar can seem to be this:



There are various kinds of qualities for a specific pin bar. For example, the long finish of the candle is the wick, while the little end (the contrary side of the body) is known as the nose. Most concur the long tail, or “wick,” will be something like 66% the complete length of the pin bar itself. The other piece of the pin bar will normally be, and no more, 33% of the candle. The open price of the flame and the nearby ought to be generally a similar price. This structures the ‘Body.’

To confirm a pin bar, you should trust that the flame will close. Since the ongoing flame “looks” like a pin bar, doesn’t be guaranteed to mean it is. In the example over, the price development might have gone on vertical and shut at the highest point of the flame. Thus, it wouldn’t be viewed as a pin bar



Basic Guidelines:

Time period – ANY

Market – ANY

Indicators – NONE

OTHER – Trend lines, flat lines, support resistance lines (anything to assist you with tracking down these areas).

Phase 1: Find a Pin Bar On Your Chart.

*Note This is a stock price action strategy, and a forex price action procedure. I will utilize a money pair for instance. Price action outlines are with any market and time frame.



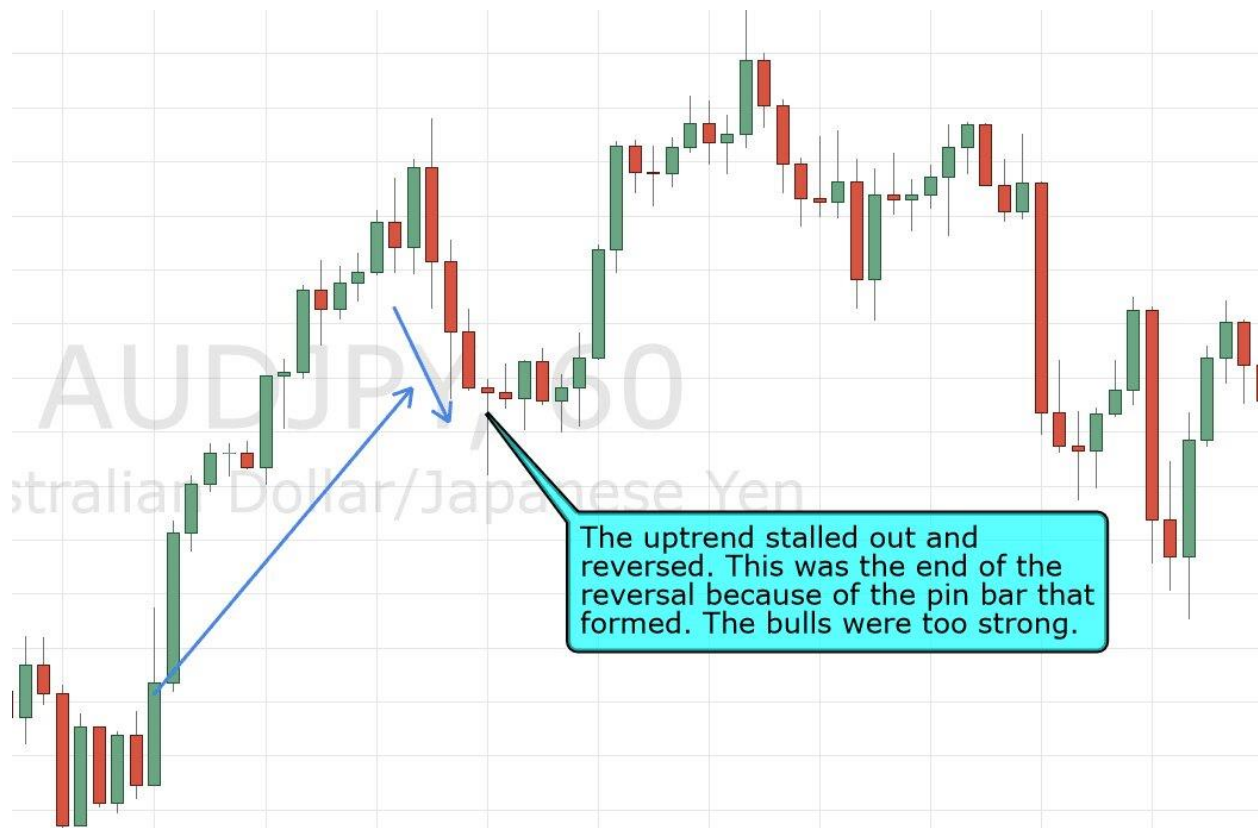
To begin with, recognize a pin bar that has shaped. In the example, this is viewed as a bullish pin bar due to the long wick beneath the body

As may be obvious, the pin bar “wick” is underneath the body, which is viewed as a bullish pin bar.

For this situation, we are searching for a continuation of this uptrend. This is a 1 hour time chart AUDJPY money pair.

You can see the Bears attempted their hardest to prevent this uptrend from happening. The Bulls were major areas of strength for excessively, is the reason you see the pin bar structure.

This is an concept illustration of a pin bar price action inversion arrangement.



Phase 2: Search for Past Price action to Determine Where The Pin Bar Formed.

For what reason did the inversion out of nowhere hit a price, and afterward go on back to the potential gain?

We should zoom out a piece on this one hour chart. We'll sort out whether or not we can see whatever makes sense of what occurred.

Note** you can either take a look at the ongoing time period you are on, for this situation, a 1-hour time frame. Or on the other hand you can knock up a couple of periods to accumulate data



Aha! So investigate those resistance price areas the wick contacted.

Resistance in the past can mean support from now on. What happened is the price hit this level however neglected to get through it.

Since the long bullish wick framed, we conclude the time has come to enter this trade in candle of what we gained from the earlier days.

This is what's really going on with Price action. No two trades are something similar. Be that as it may, we can take what we've gained from the past. Then, at that point, make the best judgment with regards to where the price is going from now on.

You are basically similar to a criminal investigator when you trade price action. The point is to accumulate many bits of proof to back up your decision. You are trading with juncture. Some of the time straightforward is concept. Concentrate on the outlines and structure an informed end with regards to where the price will go.

Phase 3: Trade entry

You simply enter the trade 2-3 pips from the break of the nose of the pin bar.



Phase 4: Stop loss

Place the stop loss 3-5 pips from the wick. The finish of the wick will be a support area. So assuming this is broken the trend might go on descending. For this reason you place your stop 3-5 pips from this.



Phase 5: Leave Strategy



Your leave strategy is the point at which you hit the principal level of support or resistance on your chart. As may be obvious, the price hit a point then, at that point, slowed down. When we see the price action slowing down, we leave the trade right a